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2. **Veblen or Demonstration effect:** Veblen has explained the exceptional demand curve through his doctrine of conspicuous consumption. Rich people buy certain goods because it gives social distinction or prestige. For example, diamonds.
3. **Ignorance**: Sometimes, the quality of the commodity is judged by it's price. Consumers think that the product is superior if the price is high. As such they buy more at a higher price.
4. **Speculative effect:** If the price of the commodity is increasing then the consumers will buy more of it because of the expectation that it will increase still further. Eg stock markets.
5. **Fear of shortage:** During times of emergency or war, people may expect shortage of a commodity and so buy more.

2.8.7 Extension and Contraction of Demand

The changes in the quantity demanded for a commodity due to the change in its price alone are called "Extension and Contraction of Demand". In other words, buying more at a lower price and less at a higher price is known as "Extension and Contraction of Demand".

2.8.8 Movement along Demand Curve

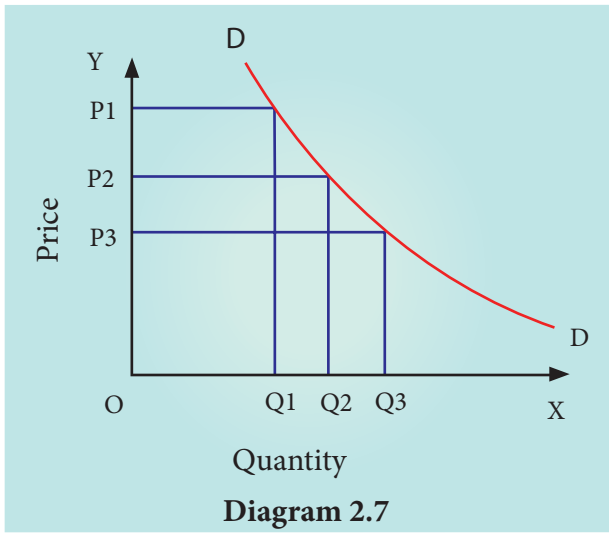


Diagram 2.7

In the diagram 2.7, at point A, the price OP_2 and quantity demanded is OQ_2. When price falls to OP_3 (movement along the demand curve A to C) the quantity demanded increases to OQ_3. If price rises to OP_1 (movement from A to B) quantity demanded decreases to OQ_1.

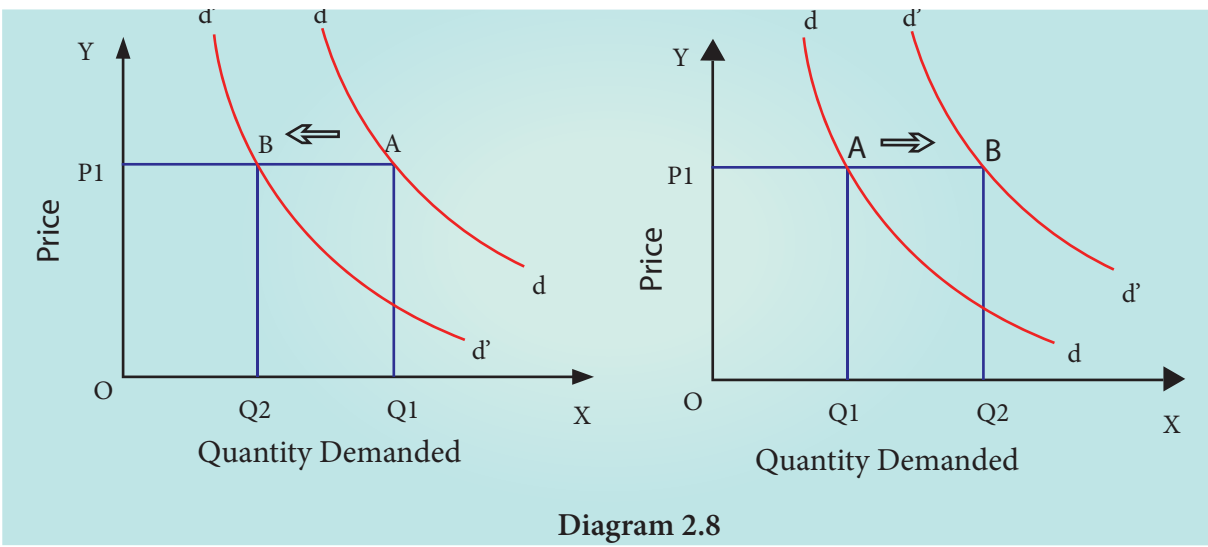


Diagram 2.8